)AP - VINACHEM JOINT STOCK COMPAN

No.: 950.../ GT- DAP

SOCIALIST REPUBLIC OF VIETNAM

Independence - Freedom - Happiness

Subject: Explanation for the change in profit after corporate income tax for the third quarter of 2026, where the variance is 10% or greater compared to the same period of the previous year

Hai Phong, October 12 , 2026

To: HANOI STOCK EXCHANGE

Digitally signed by CÔNG TY CỔ PHẦN DAP-VINACHEM
DN: CN=Viettel-CA SHA2, O=Viettel Group, C=VN
Reason: I am the author of this document
Date: 20 Tháng Mười 2026 8:57:11 SA

Company: DAP - VINACHEM Joint Stock Company (DDV)

Head office: Lot N5.8 Dinh Vu Industrial Park, Dinh Vu Economic Zone, Cat Hai, Dong Hai II Ward, Hai An District, Hai Phong City, Vietnam

Phone: 02253 979 368 Fax: 02253 979 170

Website: www.dap-vinachem.com.vn Email: daphaiphong@gmail.com

Based on Circular No. 96/2020/TT-BTC dated November 16, 2020, of the Ministry of Finance guiding the disclosure of information on the securities market, and Circular No. 68/2024/TT-BTC dated September 18, 2024, of the Ministry of Finance amending and supplementing a number of articles of the Circulars regulating securities transactions on the securities trading system; clearing and settlement of securities transactions; operations of securities companies and disclosure of information on the securities market.

Based on the financial statements for the third quarter of 2026, DAP-VINACHEM Joint Stock Company (stock code: DDV) provides the following explanation regarding the fluctuation in profit after corporate income tax, which has changed by 10% or more compared to the same period of the previous year:

Report type	After-tax Profit		Difference (1) - (2)	Increase/decrease rate (%)
	Q3/2026 (1)	Q3/2025 (2)		
Financial Statements (Statement of Profit or Loss / Income Statement)	9,586,897,599	221,100,967,366	(211,514,069,767)	-95.7%

Reason:

NO.	Target	Q3/2026	Q3/2025	Difference	Increase/decrease rate (%)
(1)	*(2)*	*(3)*	*(4)*	*(5) = (3) - (4)*	
1	Sales and Service Revenue	1,290,292,211,289	1,403,088,003,913	(112,795,792,624)	-8.0%
2	Revenue Deductions	-	6,456,246,761	(6,456,246,761)	-100.0%
3	Net Sales and Service Revenue	1,290,292,211,289	1,396,631,757,152	(106,339,545,863)	-7.6%
4	Cost of Goods Sold	1,242,638,791,695	1,091,105,365,093	151,533,426,602	13.9%
5	Gross Profit from Sales and Service Revenue	47,653,419,594	305,526,392,059	(257,872,972,465)	-84.4%
6	Financial Revenue	24,166,841,223	19,516,782,325	4,650,058,898	23.8%
7	Financial Expenses	7,923,965,476	1,407,154,930	6,516,810,546	463.1%
8	Selling Expenses	21,509,782,846	23,991,797,520	(2,482,014,674)	-10.3%
9	Administrative Expenses	30,523,852,156	23,656,801,318	6,867,050,838	29.0%
10	Net Operating Profit	11,862,660,339	275,987,420,616	(264,124,760,277)	-95.7%
11	Other Income	144,154,892	411,791,702	(267,636,810)	-65.0%
12	Other Expenses	4,684,672	707,691	3,976,981	562.0%
13	Other Profit	139,470,220	411,084,011	(271,613,791)	-66.1%
14	Total Accounting Profit Before Tax	12,002,130,559	276,398,504,627	(264,396,374,068)	-95.7%
15	Current Corporate Income Tax Expense	2,415,232,960	55,297,537,261	(52,882,304,301)	-95.6%
.17	Profit After Corporate Income Tax	9,586,897,599	221,100,967,366	(211,514,069,767)	-95.7%

Accounting profit after corporate income tax for the third quarter of 2026 amounted to VND 9,587 million, a decrease of VND 211,514 million or 95.7% compared to the same period last year. This was due to the following factors:

- Net revenue from sales and services for this period decreased by VND 106,339 million, representing a 7.6% decline compared to the same period last year, primarily due to a drop in revenue from chemical business operations.

- Cost of goods sold increased by VND 151,533 million (a 13.9% rise) compared to the same period last year. This increase was mainly due to fluctuations in the prices of input raw materials specifically sulfur which saw a very sharp rise compared to the same period last year.

- Net revenue from sales and services decreased, while the cost of goods sold rose as analyzed above resulting in an 84.4% decline in gross profit from sales and services compared to the same period last year.

- Financial income for the period increased by VND 4,650 million, or 23.8% year-on-year, primarily driven by interest earned on term deposits at banks.

- Financial expenses for the period rose by VND 6,517 million, an increase of 463.1% year-on-year, due to higher interest expenses and foreign exchange losses.

- Selling expenses for the period decreased by 10.3% compared to the same period last year.

- General and administrative expenses increased by 29.0% compared to the same period last year.

In the third quarter of 2026, the market for fertilizers and raw materials both domestically and globally continued to experience complex developments; in particular, sulfur became extremely scarce, with its price surging significantly. Total revenue declined while total costs increased compared to the same period last year, resulting in a decrease in profit after corporate income tax (CIT) by VND 211,514 million a reduction of 95.7% year-on-year.

The above serves as the Company's explanation regarding the reasons for the change in profit after CIT for the third quarter of 2026, which represents a variance of 10% or more compared to the same period in the previous year. We affirm that the information disclosed herein is accurate and truthful, and we accept full legal responsibility for the content of this disclosure.

Yours sincerely,

GENERAL DIRECTOR

M.S.D.N: 0200827054 CÔNG TY CỔ PHẦN DAP-VINACHEM THÀNH PHỐ HẢI PHÒNG

Vu Van Bang

Recipients:

- As above;
- Filed at: F&A Dept; Admin & HR Dept.

DAP - VINACHEM JOINT STOCK COMPANY
Address: Lot N5.8 Dinh Vu Industrial Park, Dinh Vu Economic Zone,
Cat Hai, Dong Hai Ward, Hai Phong City, Vietnam
Tel: 02253 979368)Fax: 02253 979 170

Form B 01 - DN
(Issued together with Circular No. 99/2025/TT-BTC dated 27 October 2025 of the Minister of Finance)

BALANCE SHEET

As of September 30, 2026

Unit: VND

Assets	Codes	Notes	30/9/2026	01/01/2026
A. CURRENT ASSETS	**100**		**2,647,182,038,142**	**2,473,354,025,721**
I. Cash and Cash Equivalents	**110**	**V.1.**	**114,423,438,593**	**47,886,373,122**
1. Cash	111		24,423,438,593	47,886,373,122
2. Cash Equivalents	112		90,000,000,000	
II. Short-Term Financial Investments	**120**	**V.2**	**1,207,813,200,000**	**1,505,000,000,000**
1. Trading Securities	121			
2. Allowance for Decline in Value of Trading Securities (*)	122			
3. Held-to-Maturity Investments	123		1,207,813,200,000	1,505,000,000,000
4. Allowance for Short-term Held-to-Maturity Investments (*)	124			
5. Other Short-Term Investments	125			
6. Allowance for Impairment of Other Short-term Investments (*)	126			
III. Short-term receivables	**130**		**473,337,405,719**	**202,707,247,779**
1. Short-term receivables from customers	131	V.3.	219,429,783,808	23,803,900,792
2. Short-term prepayments to suppliers	132	V.4.	130,124,967,430	82,796,589,081
3. Short-term internal receivables	133			
4. Construction Contract Receivables	134			
5. Other Short-term Receivables	135	V.5.	124,303,271,430	97,891,695,995
6. Allowance for Doubtful Short-term Receivables (*)	136	V.3; V.5	(520,616,949)	(1,784,938,089)
7. Assets Pending Resolution	137			
IV. Inventory	**140**	**V.7.**	**836,635,135,751**	**693,910,395,999**
1. Inventory	141		836,635,135,751	693,910,395,999
2. Provision for inventory depreciation (*)	142			
V. Short-term Biological Assets	**150**			
VI. Other Current Assets	**160**		**14,972,858,079**	**23,850,008,821**
1. Short-term prepaid expenses	161	V.12.	1,307,062,751	540,810,609
2. Deductible VAT	162		5,149,255,321	888,238,203
3. Taxes and other receivables from the State	163	V.14.	8,516,540,007	22,420,960,009
4. Government Bond repurchase transactions	164			
5. Other current assets	165			
B. NON-CURRENT ASSETS	**200**		**702,764,107,527**	**565,633,997,312**
I. Long-term receivables	**210**		**2,318,138,030**	**2,318,138,030**
1. Long-term receivables from customers	211			
2. Long-term prepayments to suppliers	212			
3. Working capital at affiliated units	213			
4. Long-term internal receivables	214			
5. Other long-term receivables	215	V.5b.	2,318,138,030	2,318,138,030

Assets	Codes	Notes	30/9/2026	01/01/2026
6. Provision for long-term doubtful receivables (*)	216	V.5b.		
II. Fixed assets	**220**	**V.9.**	**580,191,413,250**	**477,348,536,346**
1. Tangible fixed assets	221		575,515,148,741	471,982,086,647
- Original cost	*222*		*2,782,805,349,211*	*2,611,225,496,159*
- Accumulated depreciation (*)	*223*		*(2,207,290,200,470)*	*(2,139,243,409,512)*
2. Financial leased fixed assets	224	V.11.	4,499,181,171	5,158,116,363
- Original cost	*225*		*5,389,941,818*	*5,389,941,818*
- Accumulated depreciation (*)	*226*		*(890,760,647)*	*(231,825,455)*
3. Intangible fixed assets	227	V.10.	177,083,338	208,333,336
- Original cost	*228*		*430,000,000*	*430,000,000*
- Accumulated depreciation (*)	*229*		*(252,916,662)*	*(221,666,664)*
III. Long-term biological assets	230			
IV. Investment properties	**240**			
V. Long-term work-in-progress assets	**250**	**V.8.**	**95,397,847,405**	**81,232,434,882**
1. Long-term work-in-progress production costs	251			
2. Long-term work-in-progress construction costs	252		95,397,847,405	81,232,434,882
VI. Long-Term Financial Investments	**260**	**V.2b.**	**4,041,069,145**	**4,267,911,178**
1. Investment in Subsidiaries	261			
2. Investment in Joint Ventures and Associates	262			
3. Equity Investments in Other Entities	263		5,000,000,000	5,000,000,000
4. Provision for Long-Term Investment Losses in Other Entities (*)	264		(958,930,855)	(732,088,822)
5. Long-Term Investments Held to Maturity	265			
6. Provision for Long-Term Investments Held to Maturity (*)	266			
VII. Other Long-Term Assets	**270**		**20,815,639,697**	**466,976,876**
1. Long-term deferred expenses	271	V.12.	20,815,639,697	466,976,876
2. Deferred income tax assets	272			
3. Long-term equipment, supplies, and spare parts	273			
4. Other long-term assets	274			
TOTAL ASSETS (280 = 100 + 200)	**280**		**3,349,946,145,669**	**3,038,988,023,033**
C - LIABILITIES	**300**		**1,141,713,718,085**	**773,815,220,606**
I. Short-term liabilities	**310**		**1,136,148,897,639**	**767,441,908,884**
1. Short-term accounts payable to suppliers	311	V.14.	569,441,171,768	321,200,414,664
2. Short-term advances from customers	312	V.15.	34,871,852,635	15,407,390,577
3. Dividends and profits payable	313			
4. Short-term taxes and other amounts payable to the State	314	V.16.	32,995,485,250	38,312,463,957
5. Payable to employees	315		161,870,480,412	183,859,427,564
6. Short-term accrued expenses	316	V.17.	39,792,738,911	53,757,770,505
7. Short-term intercompany payables	317			
8. Short-term construction contract payments	318			
9. Short-term deferred revenue	319			
10. Other short-term payables	320	V.18.	6,046,452,375	12,496,095,453
11. Short-term loans and financial lease liabilities	321	V.13.	210,911,664,160	118,574,817,398
12. Short-term provisions for liabilities	322	V.19.		

Assets	Codes	Notes	30/9/2026	01/01/2026
13. Employee reward and welfare fund	323	.	80,219,052,128	23,833,528,766
14. Price stabilization fund	324			
15. Repurchase agreements for Government bonds	325			
II. Long-term liabilities	330		**5,564,820,446**	**6,373,311,722**
1. Long-term payables to suppliers	331			
2. Long-term advances from customers	332			
3. Long-term taxes and other amounts payable to the State	333			
4. Long-term accrued expenses	334			
5. Internal payables for working capital	335			
6. Long-term internal payables	336			
7. Long-term deferred revenue	337			
8. Other long-term payables	338	V.18.	2,241,023,000	2,241,023,000
9. Long-term loans and financial lease liabilities	339	V.13.	3,323,797,446	4,132,288,722
10. Convertible bonds	340			
11. Preferred shares	341			
12. Deferred income tax payable	342			
13. Long-term provisions for liabilities	343			
14. Science and technology development fund	344			
D. EQUITY	400	V.20.	**2,208,232,427,584**	**2,265,172,802,427**
1. Owner's Contributions	411		1,461,099,000,000	1,461,099,000,000
- Common Voting Shares	411a		1,461,099,000,000	1,461,099,000,000
- Preferred Shares	411b			
2. Capital Surplus	412			
3. Convertible Bond Options	413			
4. Other Owner's Capital	414			
5. Shares Repurchased from the Owner (*)	415			
6. Valuation Differences in Assets	416			
7. Exchange Rate Differences	417			
8. Development Investment Fund	418		475,178,086,000	159,762,168,000
9. Other Funds of Owner's Capital	419			
10. Undistributed Net Profit After Tax	420		271,955,341,584	644,311,634,427
- Accumulated Undistributed Net Profit at the End of the Previous Period	420a		16,254,086,427	13,479,797,628
- Undistributed Net Profit After Tax for the Current Period	420b		255,701,255,157	630,831,836,799
TOTAL CAPITAL (440 = 300 + 400)	440		3,349,946,145,669	3,038,988,023,033

Approved, October 8, 2026

PREPARED BY	CHIEF ACCOUNTANT	LEGAL REPRESENTATIVE GENERAL DIRECTOR
Dang Thi Hoa	Le Thi Hien	Dang

DAP - VINACHEM JOINT STOCK COMPANY
Address: Lot N5.8 Dinh Vu Industrial Park, Dinh Vu Economic Zone,
Cat Hai, Dong Hai Ward, Hai Phong City, Vietnam
Tel: 02253 979368 Fax: 02253 979170

Form B 02 - DN
(Issued together with Circular No. 99/2025/TT-BTC dated 27 October 2025 of the Minister of Finance)

INCOME STATEMENT

Third quarter of 2026

Đơn vị tính: VNĐ

No.	Target	Codes	Explanation	Current period - This year	Current period - Last year	Accumulated from the beginning of the year to the end of the current period - This year	Accumulated from the beginning of the year to the end of the current period - Last year
1	**Sales and service revenue**	01	VI.1	**1,290,292,211,289**	**1,403,088,003,913**	**4,929,906,888,015**	**4,175,652,654,040**
2	**Revenue deductions**	02	VI.2	**-**	**6,456,246,761**	**13,447,498,104**	**21,810,590,596**
3	**Net sales & service revenue (10=01-02)**	10		**1,290,292,211,289**	**1,396,631,757,152**	**4,916,459,389,911**	**4,153,842,063,444**
4	Cost of goods sold	11	VI.3	1,242,638,791,695	1,091,105,365,093	4,469,184,243,375	3,422,281,905,620
5	**Gross profit from sales & service (20=10-11)**	20		**47,653,419,594**	**305,526,392,059**	**447,275,146,536**	**731,560,157,824**
6	**Profit/loss from the sale and liquidation of investment properties**	21		-	-	-	-
7	Financial operating revenue	22	VI.4	24,166,841,223	19,516,782,325	59,824,080,640	56,311,849,413
8	Financial expenses	23	VI.5	7,923,965,476	1,407,154,930	17,048,343,105	6,431,408,438
	In which: Interest expense	*24*		*4,084,456,307*	*42,872,914*	*6,120,367,894*	*335,684,563*
9	Selling expenses	25	VI.8	21,509,782,846	23,991,797,520	81,232,235,264	74,411,712,970
10	Administrative expenses	26	VI.8	30,523,852,156	23,656,801,318	89,181,948,807	87,524,962,505
11	**Net profit from business operations (30 = 20 + 21 + 22 - (23 + 25 + 26))**	30		**11,862,660,339**	**275,987,420,616**	**319,636,700,000**	**619,503,923,324**
12	Other income	31	VI.6	144,154,892	411,791,702	1,005,478,666	1,070,853,687
13	Other expenses	32	VI.7	4,684,672	707,691	645,147,769	592,489,756
14	**Other profits (40=31-32)**	40		**139,470,220**	**411,084,011**	**360,330,897**	**478,363,931**
15	**Total accounting profit before tax (50=30+40)**	50		**12,002,130,559**	**276,398,504,627**	**319,997,030,897**	**619,982,287,255**
16	Current corporate income tax expense	51	VI.10	2,415,232,960	55,297,537,261	64,295,775,740	124,251,974,652
18	**Profit after corporate income tax (60 = 50 - 51 - 52)**	60		**9,586,897,599**	**221,100,967,366**	**255,701,255,157**	**495,730,312,603**
19	Basic earnings per share (*)	70	VI.11	66	1,513	1,750	3,393
20	Diluted earnings per share (*)	71					

Hai Phong, October 8, 2026

PREPARED BY	CHIEF ACCOUNTANT	LEGAL REPRESENTATIVE GENERAL DIRECTOR
Dang Thi Hoa	Le Thi Hien	Tran Van Bang

DAP - VINACHEM JOINT STOCK COMPANY
Address: Lot N5.8 Dinh Vu Industrial Park, Dinh Vu Economic Zone, Cat Hai, Dong Hai Ward, Hai Phong City, Vietnam
Tel: 02253 979 368 Fax: 02253 979 170

Form B 03 - DN
(Issued together with Circular No. 99/2025/TT-BTC dated 27 October 2025 of the Minister of Finance)

CASH FLOW STATEMENT

Indirect Method

Third quarter of 2026

Unit: VND

TARGET	Codes	Explanation	Accumulated from the beginning of the year to the end of the current period - This year	Accumulated from the beginning of the year to the end of the current period - Last year
I. CASH FLOWS FROM OPERATING ACTIVITIES				
1. Profit before tax	01		***319,997,030,897***	***619,982,287,255***
2. Adjustments for the amounts			***21,567,897,238***	***57,644,345,112***
- Depreciation of fixed assets and investment real estate	02		69,382,985,510	40,397,463,478
- Provisions	03		(1,037,479,107)	38,895,702,118
- Exchange rate gains and losses due to revaluation of foreign currency items	04		5,217,687	179,683,038
- Investment gains and losses	05		(52,472,610,134)	(22,121,315,171)
- Interest expense	06		6,120,367,894	292,811,649
- Other adjustments	07		(430,584,612)	-
3. Profit from operating activities before changes in working capital	08		***341,564,928,135***	***677,626,632,367***
- Increase or decrease in receivables	09		(259,722,433,916)	(191,510,400,660)
- Increase or decrease in inventories	10		(142,724,739,752)	57,579,858,905
- Increase or decrease in payables (excluding interest payable, corporate income tax payable)	11		224,092,316,158	113,108,458,503
- Increase or decrease in prepaid expenses	12		(21,114,914,963)	(16,994,293,249)
- Increase or decrease in trading securities	13			
- Interest paid	14		(6,027,664,090)	(292,811,649)
- Corporate income tax paid	15		(68,326,367,849)	(40,761,398,752)
- Other cash receipts from operating activities	16			
- Other cash outlays for operating activities	17		(7,867,906,000)	(4,265,685,000)
Net cash flow from operating activities	***20***		***59,873,217,723***	***594,490,360,465***
II. CASH FLOW FROM INVESTING ACTIVITIES				
1. Cash spent on purchasing and constructing fixed assets and other long-term assets	21		(186,420,265,575)	(60,301,658,327)
2. Cash received from liquidation and sale of fixed assets and other long-term assets	22		160,000,000	-
3. Cash spent on lending and purchasing debt instruments of other entities	23		(540,813,200,000)	(300,000,000,000)
4. Cash recovered from lending and reselling debt instruments of other entities	24		838,000,000,000	170,150,000,000
5. Cash spent on investing in other entities	25		-	
6. Cash recovered from investing in other entities	26		-	
7. Cash received from interest on loans, dividends and profits distributed	27		52,211,621,648	22,206,551,117
Net cash flow from investing activities	***30***		***163,138,156,073***	***(167,945,107,210)***

III. CASH FLOWS FROM FINANCING ACTIVITIES

1. Cash received from issuing shares, receiving capital contributions from owners	31	-	
2. Cash returned to owners, repurchasing shares of the enterprise that have been issued	32	-	
3. Cash received from borrowing	33	2,073,721,088,900	360,362,269,308
4. Cash paid for principal of loans	34	(1,980,953,657,526)	(360,362,269,308)
5. Cash paid for principal of financial leases	35	(808,491,276)	
6. Dividends, profits paid to owners	36	(248,386,830,000)	
Net cash flows from financing activities	*40*	*(156,427,889,902)*	
Net cash flows during the period (50 = 20+30+40)	**50**	**66,583,483,894**	**426,545,253,255**
Cash and cash equivalents at the beginning of the	**60**	**47,886,373,122**	**30,831,262,123**
Effect of changes in foreign exchange rates	61	(46,418,423)	(346,027,134)
Cash and cash equivalents at the end of the period (70 = 50+60+61)	**70**	**114,423,438,593**	**457,030,488,244**

Approved, October 8, 2026

PREPARED BY	CHIEF ACCOUNTANT	LEGAL REPRESENTATIVE GENERAL DIRECTOR
Dang Thi Hoa	Le Thi Hien	Vu Van Bang

DAP - VINACHEM JOINT STOCK COMPANY
Address: Lot N5.8 Dinh Vu Industrial Park, Dinh Vu Economic Zone,
Cat Hai, Dong Hai Ward, Hai Phong City, Vietnam
Tel: 02253 979 368 Fax: 02253 979 170

Form No. B09-DN
(Issued together with Circular No. 99/2025/TT-BT
dated 27 October 2025 of the Minister of Finance)

NOTES TO THE FINANCIAL STATEMENTS

se notes are an integral part of and should be read in conjunction with the accompanying Q3 2026 Financial Statemei

I. Business operations characteristics

1. Form of capital ownership

DAP-VINACHEM Joint Stock Company (formerly DAP - VINACHEM LLC) was established under Decision No. 405/QD-HCVN dated July 24, 2008 of the Board of Members of Vietnam Chemical Corporation (now Vietnam Chemical Group). The Company operates under Business Registration Certificate No. 0200827051 issued by the Department of Planning and Investment of Hai Phong City for the first time on July 29, 2008 and the 6th change registration on March 17, 2023. From January 1, 2015, the Company has been transformed into DAP - VINACHEM Joint Stock Company.

The Company's charter capital is **VND 1,461,099,000,000** (In words: One thousand, four hundred and sixty-one billion, ninety-nine million dong); equivalent to 146,109,900 shares, with a par value of VND 10,000 per share.

The Company has registered to trade common shares on the UPCOM Stock Exchange with the Hanoi Stock Exchange (HNX) since June 2, 2015 under Decision No. 321/QD-SGDHN of the General Director of the Hanoi Stock Exchange, with the stock code DDV.

2. Business Field

The company operates in the field of production and trading of agricultural fertilizers.

3. Business Sectors

- Production of fertilizers and nitrogen compounds
- Production of basic chemicals;
- Installation of industrial machinery and equipment;
- Real estate business, land use rights belonging to the owner, user or lessee. Details: Warehouse and storage space rental;
- Other supporting services related to transportation. Details: Collection of port fees;
- Transport of goods by road;
- Construction of non-residential houses;
- Construction of road works;
- Construction of electrical works;
- Construction of water supply and drainage works;
- Demolition;
- Site preparation;
- Completion of construction projects;
- Other specialized construction activities.
- Production of cement, lime and gypsum;
- Production of concrete and products from concrete, cement and gypsum;
- Production of other non-metallic mineral products not classified elsewhere.
- Repair and maintenance of machinery and equipment;
- Repair and maintenance of electrical equipment;
- Electricity production from non-renewable energy sources (excluding: transmission and dispatch of the national power grid; operation of multi-purpose hydropower plants and nuclear power plants of particular
- Electricity transmission and distribution (excluding: transmission and dispatch of the national power grid; construction and operation of multi-purpose hydropower plants and nuclear power plants of particular

- Wholesale of other construction materials and installation equipment (excluding the exercise of export, import, and distribution rights for goods on the list of goods that foreign investors and economic organizations with foreign investment capital are not allowed to export, import, or distribute);

- Other specialized wholesale not classified elsewhere. Details: Wholesale of fertilizers, nitrogen compounds, and basic chemicals (excluding pesticides and plant protection products); Wholesale of metal and non-metal scrap and waste (including ash, slag, and gypsum). PG).
(excluding the exercise of export, import, and distribution rights for goods on the list of goods that foreign investors and economic organizations with foreign investment capital are not allowed to exercise export, import, and distribution rights);"

- Production of animal feed, poultry feed, and aquatic feed;

- Wholesale of agricultural and forestry raw materials (excluding wood, bamboo, and rattan) and live animals. (Details: Wholesale of feed and raw materials for animal feed, poultry feed, and aquatic feed).
(excluding the exercise of export, import, and distribution rights for goods on the list of goods that foreign investors and economic organizations with foreign investment capital are not allowed to exercise export, import, and distribution rights);"

- Wholesale of food. Details: Wholesale of food additives.
(excluding the exercise of export, import, and distribution rights for goods on the list of goods that foreign investors and economic organizations with foreign investment capital are not allowed to exercise export, import, and distribution rights);"

- Recycling of scrap materials. Details: Recycling of non-metallic scrap materials;

- Treatment and disposal of non-hazardous waste;

- Pipeline transport;

- Warehousing and

- Direct support services for water transport (excluding: pilotage, towing, berthing, and lighthouse operations);

- Cargo handling;

- Electricity production from renewable energy sources (excluding: transmission and dispatching of the national power system; operation of multi-purpose hydropower and nuclear power plants of particular economic and social importance).

Address: Lot N5.8 Dinh Vu Industrial Park, Dinh Vu Economic Zone, Cat Hai, Dong Hai II Ward, Hai An District, Hai Phong City

Tel: 0225 3979 368 Fax: 0225 3979 170

4. Normal Production and Business Cycle

The Company's normal production and business cycle is carried out within a period of no more than 12 months.

5. Characteristics of business operations during the fiscal year that affect the Financial Statements

In the third quarter of 2026, the Company's production activities faced significant challenges due to disruptions in the global sulfur supply. The resulting scarcity and sharp price increases - driven by the conflict in the Middle East - made sourcing and securing supplies extremely difficult. In response, the Company proactively sought alternative sources and implemented appropriate measures to ensure a steady supply of raw materials, thereby maintaining production line operations, safeguarding jobs and income for employees, and upholding the Company's revenue growth targets for 2026. However, the surge in sulfur prices led to a substantial rise in production costs, which negatively impacted operational efficiency during the third quarter of 2026 (net profit from business operations for the period fell by VND 264.12 billion, a 95.7% decrease compared to the same period in the previous year).

6. Corporate structure

- List of joint venture companies:

Name: Dinh Vu Gypsum Joint Stock Company

Address: Lot GI 7, Dinh Vu Economic Zone, Dong Hai 2, Hai An, Hai Phong.

Charter capital: 129,400,000,000 VND

Capital invested by the unit in the joint venture: 5,000,000,000 VND, accounting for 3.86%

7. **Number of employees as of September 30, 2026: 714 (as of July 1, 2026: 714)**

8. **Statement on Comparability of Information in Financial Statements**

The figures in the Financial Statements of this period are comparable with the figures in the Financial Statements of the previous period.

9. **The company clarifies other information in the financial statements in accordance with relevant legal regulations such as corporate law and securities law.**

The company fully complies with and adheres to all regulations on information disclosure related to corporate law and securities law.

II. Accounting period, currency used in accounting

1. Annual accounting period

The Company's annual accounting period begins on January 1 and ends on December 31 of each calendar year. The financial statements for the third quarter of 2026 are prepared for the accounting period from July 1, 2026, to September 30, 2026.

2. Currency used in accounting

The currency used in accounting is Vietnamese Dong ("VND"), accounting according to the original cost principle, in accordance with Vietnamese Accounting Standards, corporate accounting regime and legal regulations related to the preparation and presentation of Financial Statements.

III. Applicable Accounting Standards and Regimes

1. Applicable accounting regime

The company applies the Corporate Accounting System issued under Circular No. 99/2025/TT-BTC dated October 27, 2025, of the Ministry of Finance.

2. Statement on Compliance with Accounting Standards and Accounting Regime

The company has applied Vietnamese Accounting Standards and the guiding documents for those Standards issued by the State. The company's financial statements are prepared and presented in accordance with current Vietnamese Accounting Standards and the Vietnamese Enterprise Accounting System and relevant legal regulations.

IV. Accounting policies, accounting estimates, and relevant legal regulations apply.

1. Principles for converting financial statements prepared in foreign currency to Vietnamese Dong (in cases where the accounting currency differs from Vietnamese Dong); Impacts (if any) of converting financial statements from foreign currency to Vietnamese Dong.

The application of exchange rates when converting the Company's financial statements complies with the regulations in Circular No. 99/2025/TT-BTC. Specifically as follows:

- Assets and liabilities: Converted to Vietnamese Dong using the average buying and selling exchange rate of the commercial bank where the enterprise regularly conducts transactions at the end of the accounting period.
- Equity (owner's contributed capital, capital surplus, other capital, convertible bond options): Converted to Vietnamese Dong using the actual exchange rate on the date of capital contribution.
- Revenue, other income, and expenses: Converted using the actual exchange rate on the date of occurrence; if not specifically determined, the average exchange rate shall be used.
- The difference from the asset revaluation is converted into Vietnamese Dong at the actual exchange rate on the revaluation date;

2. Types of Exchange Rates Applied in Accounting

The exchange rate selected for accounting for exchange rate differences arising during the period and the exchange rate used when revaluing monetary items denominated in foreign currency: The company applies the actual transaction exchange rate and the weighted average book exchange rate.

The actual transaction exchange rate on the transaction date is the average buying and selling transfer rate of the commercial bank where the business regularly conducts transactions.

The weighted average book exchange rate is the rate determined on the basis of the average between the value converted into the accounting currency unit and the actual transaction exchange rate.

- The commercial bank from which the company chooses the exchange rate to apply in accounting is the commercial bank where the business regularly conducts transactions.
- The exchange rate applied to economic transactions arising during the period in foreign currency:

+ When buying and selling foreign currency, it is the exchange rate agreed upon in the foreign currency purchase and sale contract between the business and the commercial bank;

+ When economic transactions arise in foreign currency but the contract does not specify a particular exchange rate, the Company uses the actual exchange rate on the transaction date, which is the average buying and selling rate of the commercial bank where the business regularly conducts transactions, except for:

++ *In the case of selling goods, providing services, or income related to revenue received in advance or transactions involving advance payments from the buyer, the revenue or income corresponding to the amount received in advance is recorded at the actual exchange rate at the time of receiving the advance payment from the buyer.*

++ *In the case of allocating deferred expenses to production and business expenses in the period, the expense is recorded at the actual exchange rate at the time of advance payment.*

++ *In cases where the purchased asset is related to a prepayment to the seller, the asset value corresponding to the prepayment amount will be determined using the actual exchange rate at the time of the prepayment to the seller.*

- The exchange rate applied when revaluing monetary items denominated in foreign currency at the end of the accounting period is the average transfer buying and selling rate of the commercial bank where the enterprise regularly conducts transactions at the end of the accounting period.

For balances of demand deposits in foreign currency, the Company will value them using the average transfer buying and selling rate of the commercial bank where the enterprise maintains its deposit account.

Assets and liabilities denominated in currencies other than VND - excluding demand deposits - are translated into VND at the average transfer buying and selling rates of the commercial bank where the Company regularly conducts transactions. The Company does not translate the portion or the entire value of foreign currency-denominated receivables for which a provision for bad debts has been made.

All arising foreign exchange differences and exchange rate differences resulting from revaluation are recognized in the results of operations for the period and presented on a net basis in the income statement.

3. **Principles for Determining the Effective Interest Rate (EFI) Used for Discounting Cash Flows:**
Basis for Determining the Effective Interest Rate: The effective interest rate is determined based on the agreed interest rate in the contract and related cash flow terms, in accordance with current accounting standards.

The selection of the effective interest rate aims to ensure that it accurately reflects the economic nature of the transaction and complies with current accounting standards.

4. **Principles for Recognizing Cash and Cash Equivalents**

Cash includes cash on hand, demand deposits, and monetary gold used as a store of value, excluding gold classified as inventory used as raw materials for the production of products or goods for sale.

Cash equivalents are short-term investments with a recovery period of no more than 3 months from the date of investment, highly liquid, easily convertible into specific amounts of cash, and with minimal conversion risk.

5. **Principles of accounting for financial investments**

Held-to-maturity investments include: *Term deposits at banks and credit institutions held to maturity for the purpose of earning periodic interest and other held-to-maturity investments.*

Investments in other entities include: Capital contribution to Dinh Vu Gypsum Joint Stock Company according to the Memorandum of Agreement on the establishment of Dinh Vu Gypsum Joint Stock Company dated October 1, 2010, between the parties including DAP VINACHEM Joint Stock Company, Song Da Cao Cuong Joint Stock Company, and Minh Loan Trading and Transport Joint Stock Company. The company's capital contribution is VND 5 billion, representing 3.86% of the charter capital (Charter capital as of september 30, 2026, is VND 129.4 billion). The value of the capital contribution includes VND 1 billion in cash and VND 4 billion as compensation for land clearance and bomb and mine removal costs for 30,000 m2 of land in the Dinh Vu Economic Zone. The initial book value of this investment is determined at cost. After initial recognition, the value of these investments is determined at cost minus the provision for impairment of the investment.

Provisions for devaluation of investments are made at the end of the specific period as follows: For investments held for a long time (not classified as trading securities) and having no significant impact on the investee, provisions are made based on the Financial Statements at the time of provisioning of the investee; for investments held to maturity, provisions for doubtful debts are made based on the recovery ability according to the provisions of law.

6. Principles of accounting for receivables

Receivables are amounts that can be recovered from customers or other entities. Receivables include customer receivables, internal receivables and other receivables. Receivables are presented at book value minus provisions for doubtful debts. Receivables are not recorded higher than the recoverable value.

Customer receivables include commercial receivables arising from purchase-sale transactions.

Other receivables include non-commercial receivables not related to purchase-sale transactions.

Receivables are monitored in detail by each entity and term of receivables, original currency receivables and other factors according to the management needs of the enterprise.

At the time of preparing the Financial Statements, the Company re-evaluated the balance of receivables originating in foreign currencies at the foreign currency buying rate of the commercial bank where the enterprise regularly conducts transactions.

The company has made provisions for overdue receivables in accordance with Circular 48/2019/TT-BTC dated August 8, 2019, of the Ministry of Finance and the accounting regulations issued under Circular 99/2025/TT-BTC dated October 27, 2025, of the Ministry of Finance.

7. Principles of Inventory Recognition

The company's inventory consists of assets purchased for production or sale during the normal course of business, including: Goods in transit; Raw materials; Tools and equipment; Finished goods; Merchandise; and Goods consigned for sale. Inventory is tracked in detail, both in quantity and value, by type and specification of materials and goods, and by management and usage location.

- ***Principles of inventory recognition:*** Inventories are initially recorded at original cost including: Purchase costs, processing costs and other directly related costs incurred to bring the inventories to their location and condition at the time of initial recording. After initial recording, at the time of preparing the Financial Statement, if the net realizable value of the inventory is lower than the original cost of the inventory, it is recorded at the net realizable value.

  Net realizable value is estimated based on the selling price of inventory minus estimated costs to complete the product and estimated costs to sell the product.

- **Inventory valuation method:** Inventory value is determined using the weighted average method, in accordance with current accounting standards and regulations.

- ***Method of inventory accounting:*** Regular declaration method.

  Method for determining the value of work-in-process inventory at the end of the period: *Work-in-process production costs are accumulated using the direct method for each type of unfinished product. Work-in-process production costs include: material costs, labor costs, and general production costs, in accordance with current accounting standards and regulations.*

- ***Methods for creating provisions for inventory devaluation:***

The company's provision for inventory devaluation is established in accordance with current accounting regulations. Accordingly, at the end of the accounting period, if it is determined that the value of inventory is not fully recoverable due to damage, obsolescence, reduced selling price, or increased finishing costs and selling expenses, resulting in a net realizable value lower than the original cost of the inventory, the enterprise must establish a provision for inventory devaluation to adjust the inventory value downwards to its net

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Criteria for allocating raw materials and supplies: Based on consumption norms and actual production as reported by the Technical and Engineering Department, in accordance with the Company's production and business processes and current accounting regulations, ensuring consistency across periods.

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Accounting policy related to inventory for high-risk contracts: Assessment of recoverability and provision for impairment (if any) will be conducted in accordance with current accounting standards and regulations.

8. Accounting and depreciation principles for tangible fixed assets (including perennial plants that yield periodic produce and working animals), intangible fixed assets, finance-leased fixed assets, and investment properties.

8.1 Principles of recognition and depreciation methods for tangible fixed assets.

Tangible fixed assets are recorded at their original cost and reflected on the Balance Sheet according to the indicators of original cost, accumulated depreciation, and net book value.

The recording and depreciation of tangible fixed assets are carried out in accordance with Vietnamese Accounting Standard No. 03 - Tangible Fixed Assets, Circular No. 99/2025/TT-BTC dated October 27, 2025 of the Ministry of Finance guiding the accounting regime for enterprises, and Circular 45/2013/TT-BTC dated April 25, 2013 guiding the management, use, and depreciation of fixed assets.

The company applies the straight-line depreciation method to tangible fixed assets. Tangible fixed assets are classified into groups of assets with similar characteristics and purposes in the company's production and business activities, including:

Type of fixed asset	*Depreciation period (years)*
Buildings and structures	05 - 25
Machinery and equipment	03 - 15
Means of transport, transmission equipment	06 - 15
Equipment, management tools	03 - 10
Other assets	04 - 15

8.2 Principles for recording depreciation methods of intangible fixed assets.

The Company's intangible fixed asset is accounting software.

The recognition and depreciation of intangible fixed assets are carried out in accordance with Vietnamese Accounting Standard No. 04 - Intangible Fixed Assets, Circular No. 99/2025/TT-BTC dated October 27, 2025 of the Ministry of Finance guiding the accounting regime for enterprises, and Circular 45/2013/TT-BTC dated April 25, 2013 guiding the management, use and depreciation of fixed assets.

Intangible fixed assets are recognized at their original cost and reflected on the Balance Sheet according to the indicators of original cost, accumulated depreciation, and remaining value.

The Company applies the straight-line depreciation method to intangible fixed assets. Intangible fixed assets are classified into groups of assets with similar characteristics and purposes in the Company's production and business activities, including:

Type of Fixed Asset	*Depreciation Period (Years)*
Computer Software	06

8.3 Principles for Recording Depreciation of Leased Fixed Assets

The company's leased fixed asset is a 5-seater car used for business operations.

Fixed assets under finance leases are recorded at their original cost and reflected on the Balance Sheet according to the indicators of original cost, accumulated depreciation, and net book value.

The recognition of tangible fixed assets and depreciation of fixed assets are carried out in accordance with Vietnamese Accounting Standard No. 06 - Leasing, Circular No. 99/2025/TT-BTC dated October 27, 2025 of the Ministry of Finance guiding the accounting regime for enterprises, and Circular 45/2013/TT-BTC dated April 25, 2013 guiding the management, use and depreciation of fixed assets.

The company applies the straight-line depreciation method to tangible fixed assets. Accounting for leased fixed assets is classified according to asset groups with similar characteristics and purposes in the company's production and business activities, including:

Type of Fixed Asset	*Depreciation Period (Years)*
Transportation vehicles	06 - 15

9. Principles of accounting for biological assets.

Biological assets are recognized, valued, and presented at their original cost, taking into account provisions for impairment losses (if any), in accordance with current accounting standards and regulations.

10. Accounting principles for business cooperation contracts.

Business cooperation contracts are recorded and accounted for according to the economic nature of the contract, in accordance with current accounting standards and regulations.

11. Accounting Principles for Deferred Expenses

Expenses incurred related to the business results of multiple accounting periods are accounted for as deferred expenses to be gradually allocated to the business results in subsequent accounting periods.

Short-term deferred expenses include transportation and handling costs for DAP, fire and explosion insurance costs, vehicle rental costs, and various types of tool and equipment costs, and regular repair costs, which are allocated over a period of no more than 12 months... Specifically, transportation and handling costs for DAP are allocated based on the quantity of DAP products consigned for sale sold monthly.

Long-term deferred expenses are the remaining value of assets that do not meet the criteria for recognition as assets according to Circular No. 45/2013/TT-BTC, allocated over a period of 3 years; major repair costs are allocated over 3 years (if any).

12. Accounting Principles for Accounts Payable

Accounts payable are amounts due to suppliers of materials, goods, services, sellers of fixed assets, investment properties, financial investments under signed economic contracts, and other entities (including accounts payable to main and subcontractors). Accounts payable should not be recorded at a lower rate than the actual payment due.

Accounts payable are tracked in detail according to the payment due date, payee, currency type, and other factors as needed for the company's management. Accounts payable are classified as short-term and long-term on the Financial Statements based on the remaining term of the accounts payable as of the reporting date.

At the time of preparing the Financial Statements, the Company revalued the balances of foreign currency-denominated accounts payable using the average transfer buying-selling exchange rate of the commercial bank where the company regularly conducts transactions.

13. Accounting Principles for Dividend and Profit Payments:

Dividends and profits payable to shareholders are clearly defined as liabilities related to the distribution of after-tax profits for a specific fiscal year; they are recorded as liabilities on the Company's balance sheet after the Company's Board of Directors announces the dividend distribution and the Vietnam Securities Depository Center announces the final registration date and confirms the list of securities holders entitled to receive dividends.

Dividend payments to shareholders are made within the stipulated timeframe.

14. Principle of recording payable expenses

The Company's payable expenses are the amounts payable for goods and services received from sellers or provided to buyers during the reporting period but not actually paid or due to lack of invoices or insufficient accounting records and documents, and other payables such as: interest expenses payable on loans, electricity, water, advertising and ore transportation costs, DAP transportation costs... are recorded in the production and business expenses of the reporting period.

The recording of payable expenses into production and business expenses during the period is carried out according to the principle of matching between revenue and expenses incurred during the period. The payable expenses will be settled with the actual expenses incurred. The difference between the actual expenses in advance will be reversed or supplemented according to regulations.

15. Principles for Recognizing Deferred Revenue

Deferred revenue is recognized as revenue over time or according to the degree of fulfillment of obligations, in accordance with the nature of the transaction and current accounting standards.

Deferred revenue includes prepaid revenue such as: Amounts paid in advance by customers for one or more accounting periods for the lease of assets or the provision of goods and services.

Methods for allocating deferred revenue: Deferred revenue is allocated evenly over time or according to the degree of fulfillment of obligations, in accordance with the nature of the transaction and current accounting

16. Accounting Principles for Provisions for Liabilities.

The Company's provision for liabilities is an expense set aside for the periodic repair and maintenance of fixed assets (as required by technical specifications) according to the annual repair plan based on estimates by the Board of Directors. This provision is set aside and reversed in accordance with current accounting standards and regulations.

17. Principles of Deferred Corporate Income Tax Accounting.

Deferred income tax payable is determined based on taxable temporary differences arising during the year and the current income tax rate.

Temporary differences are the difference between the book value of an asset or liability in the Statement of Financial Position and the tax base of that asset or liability.

Deferred corporate income tax is recognized as corporate income tax expense in the Company's Statement of Income.

18. Principles for Recognizing Loans and Financial Leases

Principles for Recognizing Borrowing and Financial Lease Expenses

Loans and financial lease liabilities are recognized based on receipts, bank documents, promissory notes, and loan and financial lease agreements. In the case of loans in foreign currency, they are tracked in detail in the original currency and the foreign currency loan balance is revalued according to the average buying-selling exchange rate of the commercial bank where the enterprise regularly conducts transactions at the time of preparing the financial statements.

Borrowing expenses include interest on loans and other expenses directly related to the enterprise's loans. Borrowing expenses are recognized as financial expenses in the period in which they arise, unless capitalized as prescribed.

Assets under financial leases are depreciated according to the regulations applicable to fixed assets owned by the enterprise. Monthly lease payments (including principal and interest) are allocated between financial expenses and debt reductions using the effective interest method. Financial expenses are recognized as expenses in the period and reflected in the Company's operating results.

19. Principles for Recognizing and Capitalizing Borrowing Costs

Borrowing costs are recognized as production and business expenses (financial expenses) in the year they are incurred (except in cases where they are capitalized) in accordance with the Accounting Standard "Borrowing

20. Principles for Recognizing Convertible Bonds

21. Principle of equity recognition

Principle for recognizing owner's equity: The owner's investment capital of the Company is recognized at the actual amount contributed by the owner.

Principle for recognizing exchange rate differences: Exchange rate differences are recognized according to the provisions of current accounting standards and regulations.

Principle for recognizing undistributed profits: Undistributed after-tax profits reflect the business results (profit, loss) after corporate income tax and the situation of profit distribution or loss handling of the company according to the decision of the competent authority, in accordance with the provisions of law and current accounting regulations.

22. Principles and methods for recognizing revenue and other income

The Company's revenue from sales and provision of services includes revenue from the sale of products and
- goods such as fertilizers, chemicals, electricity, water, oil and grease, etc.

"Revenue from the sale of finished goods is recognized when all five (5) following conditions are simultaneously met:
(a) The Company has transferred the majority of the risks and benefits associated with ownership of the product or goods to the buyer;
(b) The Company no longer holds the right to manage the goods as the owner or the right to control the goods;
(c) The revenue is determined with reasonable certainty;
(d) The Company has or will obtain economic benefits from the sales transaction; and
(e) The costs related to the sales transaction can be determined."

- "Revenue from providing services is recognized when the following conditions are simultaneously met:
" Revenue is determined with reasonable certainty. When a contract stipulates that the buyer has the right to return the purchased service under specific conditions, the business may only recognize revenue when those specific conditions no longer exist and the buyer no longer has the right to return the service provided;

+

+ The business has or will receive economic benefits from the service provision transaction;

+ The portion of work completed at the reporting date can be determined;

+ The costs incurred for the transaction and the costs to complete the service provision transaction can be

Advance payments from customers are not recognized as revenue in the period.

Financial operating revenue: Includes revenue from interest on deposits, interest on loans; interest on deferred sales; and foreign exchange rate differences.

Revenue from interest on deposits and loans is recognized based on the actual time and interest rate for each period, in accordance with the two conditions for recognizing revenue arising from interest, royalties, dividends, and distributed profits as stipulated in Vietnamese Accounting Standard No. 14 – "Revenue and Other Income".

Revenue from interest on deferred sales is recognized based on the amount of deferred payment, the deferred payment period, and the late payment interest rate as stipulated in the contract or bilateral agreement.

Revenue from foreign exchange rate differences is recognized according to the provisions of current accounting standards and regulations.

Other income of the Company includes income from the sale of tender documents, penalties from customers violating contracts, proceeds from the liquidation of fixed assets, insurance compensation, and other income.

23. Accounting principles for revenue deductions

Trade discount payable is the amount that the selling enterprise reduces the listed price for customers who buy goods in large quantities.
Sales discount is a deduction for buyers due to poor quality, degraded products or goods that do not meet the specifications specified in the economic contract.

Sales revenue deductions and service provision deductions arising in the period are trade discounts. Trade discounts arising in the same period of consumption of products, goods and services are adjusted to reduce the revenue of the arising period. In the case of products, goods and services that have been consumed in previous periods and only arise in the following period, the revenue deductions are recorded according to the following principles: If they arise before the issuance of the Financial Statements, the revenue is recorded as a reduction on the Financial Statements of the reporting period (previous period), and if they arise after the issuance of the Financial Statements, the revenue of the arising period (next period) is recorded as a reduction.

24. Principles of accounting for cost of goods sold

Cost of goods sold is recorded and aggregated according to the value and quantity of finished products, goods, and materials sold to customers, consistent with the revenue recorded in the period and ensuring compliance with the principle of prudence. Cases of material and goods loss exceeding the norm, costs exceeding the normal norm, lost inventory after deducting the responsibility of the relevant collective or individual... are fully and promptly recorded in the cost of goods sold in the period.

25. Principles of accounting for financial expenses

The following expenses are recognized as financial expenses during the period: borrowing costs not capitalized as per regulations; interest expenses on financial leases; provisions for investment losses in other entities; payment discounts for buyers; exchange rate losses when selling foreign currency or revaluation of monetary items denominated in foreign currency at the end of the period.

Financial expenses recognized in the Income Statement are the total financial expenses incurred during the period, carried forward after offsetting against amounts that reduce financial expenses and reversals of provisions as per regulations, and are not offset against financial income.

26. Accounting principles for selling expenses and general and administrative expenses.

Selling expenses and general and administrative expenses are recognized as expenses in the period in which they are incurred, in accordance with the relevant revenue and in compliance with current accounting standards and regulations.

Selling expenses and general and administrative expenses are itemized according to each expense category as prescribed.

27. Accounting principles for the sale and liquidation of fixed assets and investment properties.

The sale and liquidation of fixed assets and investment properties are recorded when the conditions for asset write-down are met. The difference between the selling price and the remaining value is determined in the operating results in accordance with current accounting standards and regulations.

28. Principles and methods for recognizing current corporate income tax expense (including supplemental corporate income tax expense as stipulated by global minimum tax regulations) and deferred corporate income tax expense.

Current corporate income tax expense, including supplemental corporate income tax expense as stipulated by global minimum tax regulations, is recognized based on taxable income for the period as prescribed by tax laws; deferred corporate income tax expense is recognized for temporary differences according to current accounting standards and regulations.

Current corporate income tax expense is determined based on taxable income and the corporate income tax rate for the current year.

The company applies the current corporate income tax rate of 20% to its production and business activities that generate taxable income.

29. Other accounting principles and methods

29.1 Principles of recording construction in progress

The Company's construction in progress is the cost of investment in technology for producing phosphoric acid and MAP fertilizer, the line for recovering residual P2O5 in gypsum, the cost of renovating the administrative building and the cost of repairing machinery, which are recorded at cost. These costs include service costs and related interest costs in accordance with the Company's accounting policy. Depreciation of these assets is applied in the same way as other assets, starting when the assets are ready for use.

29.2 Tax obligations

Value Added Tax (VAT)

The Company applies the declaration and calculation of VAT according to the guidance of current tax law with a tax rate of 10% applied to the revenue from the sale of electricity, acid, and wharf fees (the application of VAT reduction is implemented according to current regulations); a tax rate of 5% for revenue from the sale of water, a tax rate of 0% for export revenue, and fertilizer revenue not subject to VAT.

Corporate Income Tax

The company applies a corporate income tax rate of 20% on all taxable income.

Other Taxes

Other taxes and fees shall be declared and paid by the company to the local tax authority in accordance with current State regulations.

30. Related Parties

Parties are considered related if they have the ability to control or exert significant influence over the other party in decision-making regarding financial and operational policies. Related parties of the Company include:

Businesses that directly or indirectly, through one or more intermediaries, have control over the Company or are under the Company's control, or share control with the Company, including parent companies, subsidiaries, and associates;

Individuals who directly or indirectly hold voting rights in the Company and have significant influence over the Company, key management personnel of the Company, and close family members of these individuals;

Businesses in which the aforementioned individuals directly or indirectly hold a significant stake in the Company's voting rights or exert significant influence over these businesses.

In considering each related-party relationship for the purpose of preparing and presenting the financial statements, the Company pays attention to the nature of the relationship rather than its legal form.

31. Segment Information

A segment is a distinctly identifiable component of the Company involved in providing related products or services (segment by business activity), or providing products or services in a specific economic environment (segment by geographic area). Each segment experiences different risks and benefits compared to other segments.

Segment information is prepared and presented in accordance with the accounting policies applicable to the preparation and presentation of the Company's financial statements, with the aim of helping users of the financial statements to understand and evaluate the Company's overall performance.